

China: SAFE data suggest some FX inflows in May

Bottom line:

Our preferred FX flow measure shows net FX inflows of US\$50bn in May 2026 (vs. US\$37bn inflows in April). The current account channel showed US\$37bn FX inflows in May, and the portfolio investment channel saw some FX inflows from both FX settlement data (only covering flows denominated in FX) and net foreign receipts (covering flows denominated in both FX and RMB). Official FX reserves rose by US\$39bn after being adjusted for FX valuation effects, and commercial banks' external assets increased by US\$15bn from April to May.

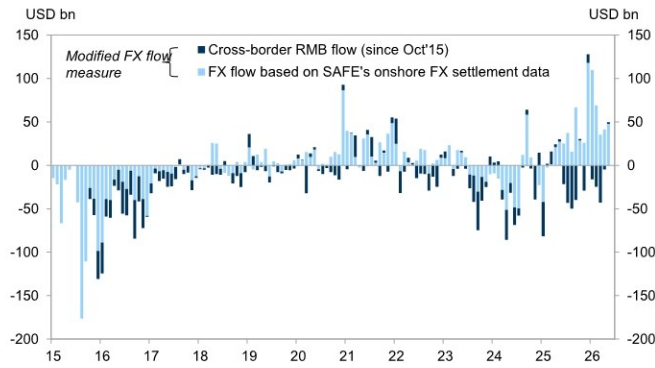
Main points:

1. In May, we saw US\$34bn net inflows via onshore outright spot transactions, and US\$14bn inflows via freshly entered and canceled forward transactions. Another SAFE dataset on "cross-border RMB flows" showed inflows of US\$2bn in the month. Our preferred FX flow measure therefore suggests US\$50bn net FX inflows in May, in comparison with US\$37bn FX inflows in April ([Exhibit 1](#)).
2. The current account channel showed net inflows (US\$37bn in May vs. US\$34bn inflows in April). We saw a net inflow of US\$53bn related to goods trade in May, up from a net inflow of US\$47bn in April. The May FX conversion ratio fell to 51% (vs. 56% in April and 74% in Q1; [Exhibit 2](#)). The FX outflows related to the services trade deficit declined to US\$11bn in May (vs. a US\$12bn outflows in April). The income and transfers account showed a US\$5bn outflow in May (vs. a US\$2bn outflow in April).
3. The portfolio investment channel saw US\$7bn FX inflows in May (vs. US\$12bn inflows in April). North-Bound Bond Connect flows showed US\$13bn inflows vs. US\$10bn outflows in April, the first net bond purchase since April 2025 (mainly driven by CGB purchases; [Exhibit 3](#)). As a broader proxy for capital flows, net foreign receipts related to portfolio investment indicated larger inflows in May (US\$18bn inflows vs. US\$14bn inflows in April).¹
4. Official FX reserves (released earlier in the month) rose to US\$3,442bn in May from US\$3,411bn in April. By our estimate, FX valuation effects would have reduced FX reserves by US\$8bn in May, so after adjusting for FX valuation effects, FX reserves increased by US\$39bn. In addition, we note that commercial banks' net external assets increased by US\$15bn in May (vs. a US\$19bn increase in April; [Exhibit 4](#)). The outstanding amount of banks' net external assets now stands at US\$1,505bn.

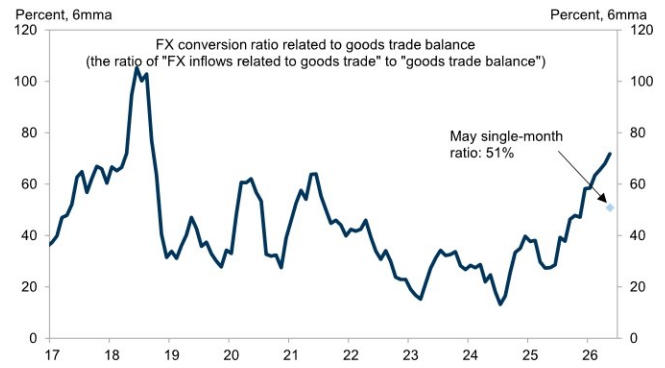
¹ Net FX receipts closely track the BOP portfolio investment balance, covering both inbound and outbound portfolio investment, denominated in either foreign currency or Renminbi. In contrast, FX net settlement only covers those flows denominated in foreign currency.

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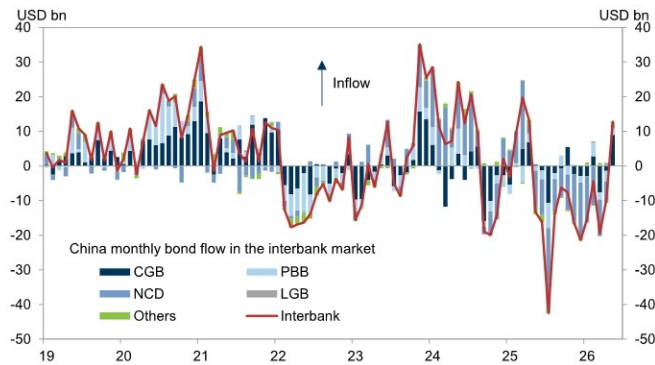
Exhibit 1: Our preferred gauge suggests increased FX inflows in May

Source: SAFE, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: FX conversion ratio for goods trade balance fell from April to May

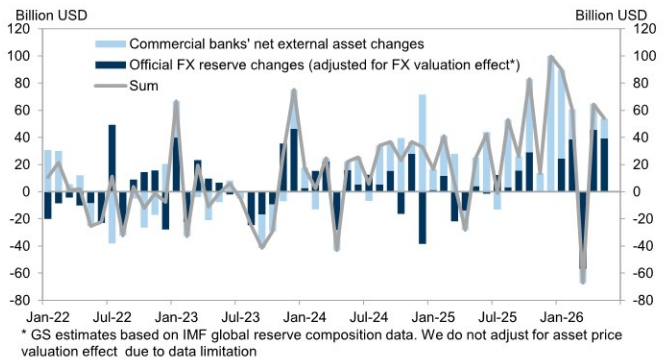
The line shows a six-month moving average of FX conversion ratio.

Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 3: Foreign investors started to buy CNY bonds in May

CGB: Central government bonds, LGB: Local government bonds, PBB: Policy bank bonds, NCD: Negotiable certificate of deposits

Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 4: Banks' net external assets increased in May, and official FX reserves rose after adjusting for FX valuation effect

* GS estimates based on IMF global reserve composition data. We do not adjust for asset price valuation effect due to data limitation

Source: PBOC, CEIC, Data compiled by Goldman Sachs Global Investment Research

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